

Global Macro Chart of the Day

(#88): Can AI offset energy?

Economics

Global

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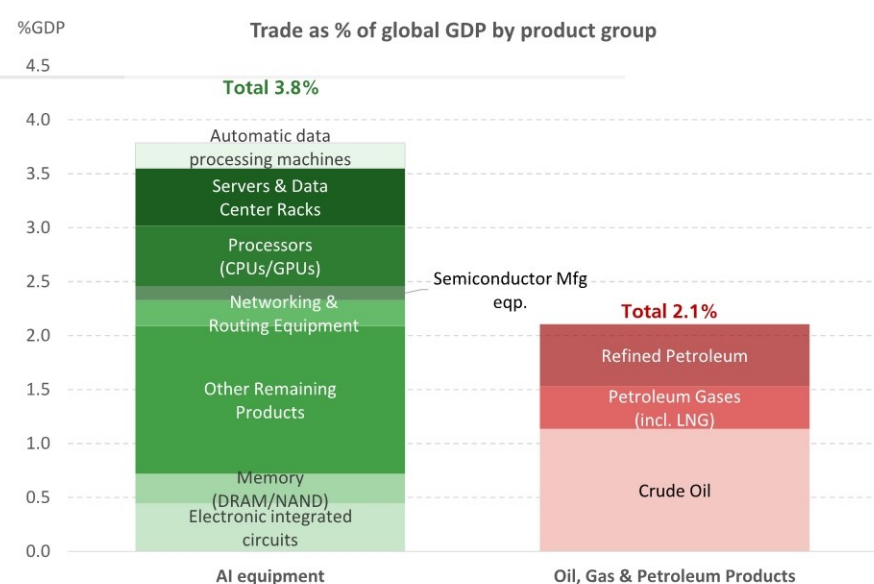
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For about half the world AI is a meaningful offset to higher energy prices

Viewed in isolation—and starting the clock in February—the global energy disruption is clearly negative. That conclusion is less certain, however, once the tailwind from the global AI capex cycle is taken into account. The value of trade in global technology products is almost twice that of global energy, partly because prices for memory and semiconductors have risen around eight times faster than Brent crude since mid 2025 (455% versus 55%). This raises the possibility that, for economies embedded in the AI supply chain, positive AI terms of trade effects could at least partially offset higher energy prices.

As outlined in the [Compendium](#) published today, we estimate that economies where AI gains outweigh higher energy costs account for over 50% of global GDP. That said, several caveats apply. First, upside risks to oil prices remain material as inventories deplete (see [this chart](#) for the relationship between oil prices and quantities). There is a price level at which economic activity and market confidence breaks, potentially constraining funding for—and investment in—AI infrastructure. Moreover, the AI supply chain broadly mirrors US spending patterns, so Asia's outlook is closely tied to the US capex cycle. Second, focusing on net trade or GDP shares understates the broader macro impact of higher energy prices, including energy-driven inflation (via fertiliser and food), tighter monetary policy, and the risk of physical rationing. Historically, rationing has had GDP effects roughly four times larger than those implied by price changes alone. Finally, the chart below reflects the past 12 months of global trade; sustained higher energy prices would push the energy share closer to that of AI.

Figure 1: Global AI enabling trade is larger than energy trade



Source: WTO, UN Comtrade, UBS estimates. [The calculation for AI is based on the WTO' AI enabling product list.]

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